

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

BLUE SHEET

Blue Sheets are a department's final bill analysis and provides the Commissioner an opportunity to weigh in on legislation that has passed, with a recommendation to the Governor on action that may be taken– to enact the bill, to veto the bill, or to allow the bill to become Law without signature (LWOS). Much of the information requested in the Blue Sheet can be taken from the department's bill analyses (BA), which were initially submitted at the time the bill was introduced and updated throughout the legislative process.

Blue sheets are due to the GLO three days after the enrolled bill appears on basis, or sooner by request.

Department: DCCED

Date: 5/21/2026

Bill Number: HB 173

Short Title (as it appears on BASIS): Occupational Therapy Licensure Compact

What action do you recommend the Governor take?

Select one.

☒ SIGN ☐ VETO ☐ LWOS

Action Justification – Why do you recommend the above action?

Please be specific.

Joining the occupational therapy (OT) compact aligns with the Governor's priorities as it will better streamline licensure, get qualified professionals to work more quickly in Alaska, and ideally expand access to care.

This compact follows the compact privilege structure, same as the physical therapy (PT) compact. The PT compact has worked very well from a licensing standpoint and in bringing PTs/PTAs to Alaska – we've seen five times as many licensees obtain privileges to work in Alaska compared to Alaska licensees that obtained compact privileges elsewhere. We believe joining the OT compact will be beneficial for Alaskans and offers a quicker and more streamlined licensing option for OTs and OTAs. It improves public safety because we will have more timely access to information on significant investigations and license action in other jurisdictions than we have without the compact.

What does this Bill do?

In addition to providing a succinct bill summary, please also consider the following: Why is this bill needed? How does it specifically change department programs? What is the anticipated impact on the public, the private sector? Does this bill align with the priorities of Governor Dunleavy?

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

Enacts the Occupational Therapy Licensure Compact (“Compact”) in Alaska, which applies to occupational therapists (OTs) and occupational therapy assistants (OTAs). It also creates an executive administrator (EA) position for the Alaska State Physical Therapy and Occupational Therapy Board (“board”) and aligns the scope of practice for occupational therapy with national standards.

The creation of the EA position is beneficial because that individual can act as the board’s delegate to both compacts and will further streamline licensure. Without an EA, the board has to review and approve each application for an Alaska license. With an EA, they can delegate authority to issue licenses to any applicants who clearly meet requirements, which will allow for licenses to be issued faster than they are now by up to a few weeks. Additionally, having an EA will better ensure regulations are repealed or updated more timely. The EA position is paid for by licensing fees, so the creation of this position does not increase costs for the state. Additionally, the division plans to reclass a position we already have to avoid growing government.

The new and expanded scope of practice for OTs/OTAs is at the request of the OT association and received no opposition. This change aligns with the governor’s priorities to expand access to care and remove unnecessary barriers without expanding government.

The bill also includes clean up language requested by DPS related to fingerprint-based background checks for compacts Alaska joined in 2024 (the physical therapy compact, and the audiology and speech-language pathology compact).

Detailed Sectional Analysis

The full sectional analysis of the bill should be completed by the lead agency. Other departments should include an analysis for sections of the bill affecting their agencies.

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|-----------|---|
| Section 1 | Amends AS 08.11.310 – <i>Audiologist and Speech-Language Pathologists: compact privilege applications</i> – to specify that compact privilege applicants must submit fingerprints and fees that the board will forward to DPS for processing, and that the information in the reports can only be used to determine the applicant’s qualifications and fitness for compact privilege. |
| Section 2 | Amends AS 08.84.010(b) – under <i>Physical Therapists and Occupational Therapists: creation and membership of board</i> – to require the Board of Physical Therapy and Occupational Therapy (“board”) to implement the Occupational Therapy Licensure Compact. |
| Section 3 | Adds a new section AS 08.84.025 – <i>Physical Therapists and Occupational Therapists: executive administrator</i> – to require the board to employ an executive administrator in the partially exempt service who shall perform duties as prescribed by the board. |

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

- Section 4 Amends AS 08.84.030(a) – under *Physical Therapists and Occupational Therapists: qualifications for licensing* – to clarify that information from background reports can only be used to determine the applicant’s qualifications and fitness for compact privilege.
- Section 5 Adds a new subsection (b) to AS 08.84.040 – *Physical Therapists and Occupational Therapists: application for license* – to add language to ensure DPS can obtain background checks for compact privilege applicants and to clarify that information from background reports can only be used to determine the applicant’s qualifications and fitness for compact privilege.
- Section 6 Adds a new section AS 08.84.095 – *scope of practice for occupational therapists and occupational therapy assistants* – to state an occupational therapist (OT) or occupational therapy assistant (OTA) can provide occupational therapy to a person whose ability or opportunity to participate in daily living activities is or may be limited or restricted because they have or are at risk of having an injury, disorder, impairment, or disability. The OT/OTA can evaluate, analyze, and diagnose the cause of the limitation/restriction and intervene with occupational therapy. An occupational therapist can provide occupational therapy without a referral from another provider, including:
- Treating pain;
 - Habilitating, rehabilitating, and working to adjust a person’s physical, neuromusculoskeletal, cognitive, psychosocial, sensory-perceptive, visual, or other aspects of performance in a variety of contexts;
 - Evaluate and treat a person to promote, enhance, or restore the person’s ability to safely perform activities;
 - Administering, evaluating, and interpreting tests and measurements of a person’s bodily functions and structures;
 - Establishing, remediating, preventing, or compensating for a barrier to a person’s performance skills;
 - Managing a person’s ability to eat, feed themselves, or swallow;
 - Designing, fabricating, applying, or fitting assistive technology or an adaptive or orthotic device;
 - Training a person to use assistive technology or an adaptive, orthotic, or prosthetic device and to manage a person’s seating and positioning;
 - Adapting environments and assessing, recommending, and training a person’s techniques to enhance mobility;
 - Preventing pain and dysfunction, restoring function, or reversing or arresting the progression of a pathology;
 - Applying an adjunctive intervention or therapeutic procedure to prepare for or use with occupation-based activities; and
 - Promoting a person’s good physical and mental health and wellness.
- An occupational therapist must allow an OTA to assist with or administer therapy the OTA is professionally competent to assist with or administer, though the OT must supervise the OTA.

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

Section 7 Amends AS 08.84.150(b) – under *license required; exceptions* – to specify that a person granted a compact privilege does not need to obtain an Alaska license to practice occupational therapy in the state.

Section 8 Creates Article 4A – *Occupational Therapy Licensure Compact* – and AS 08.84.189 – *Compact enacted* – to enact the Occupational Therapy Licensure Compact in Alaska.

- **Section 1. Purpose:** The Compact enables interstate practice of occupational therapy by allowing practitioners licensed in one member state to practice in other member states via a Compact Privilege. It aims to improve access to services, preserve state regulatory authority, promote public protection, streamline multistate practice, support military families, expand telehealth access, and enhance information sharing between states.
- **Section 2. Definitions:** This section establishes standardized terminology, including definitions of Compact Privilege, Home State, Remote State, Licensing Board, Adverse Action, Encumbered License, Data System, Telehealth, Primary State of Residence, Occupational Therapist, and Occupational Therapy Assistant. These definitions create uniform expectations for licensure, practice, investigations, and regulatory authority across all member states.
- **Section 3. State Participation in the Compact:** To participate, states must license OTs and OTAs, participate in the Compact Data System, investigate complaints, report Adverse Actions, require FBI-compliant fingerprint background checks, follow Commission rules, use a national exam for licensure, and maintain continuing competence requirements. States must grant Compact Privileges to eligible licensees from other member states and may charge associated fees. Single-state licenses remain available but do not confer compact privileges.
- **Section 4. Compact Privilege:** To obtain and maintain a Compact Privilege, a licensee must hold an unencumbered Home State license, meet identification and background check requirements, report any adverse actions, satisfy jurisprudence requirements in Remote States, and pay required fees. A Compact Privilege allows practice in a Remote State under that state’s laws and scope. Privileges are invalidated when the Home State license is encumbered or when Remote States impose discipline. Privileges may be reinstated after a waiting period, satisfaction of conditions, and updated Data System records.
- **Section 5. Obtaining a New Home State License by Virtue of Compact Privilege:** A practitioner may hold only one Home State license at a time. When moving between member states, the individual must apply for a new Home State license, undergo required background checks, meet jurisprudence requirements, and update records through the Data System. The former Home State license becomes a Compact Privilege. If the practitioner cannot meet compact eligibility criteria, the new state may issue a single-state license

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instead. Moves between member and nonmember states follow regular state-specific licensure rules.

- **Section 6. Active Duty Military Personnel or Their Spouses:** Active duty military personnel and their spouses may maintain their Home State designation while on active duty. Changing a Home State occurs only through formal application or the process outlined in Section 5.
- **Section 7. Adverse Actions:** Home States retain exclusive authority to discipline their own licensees. Remote States may discipline Compact Privileges within their borders and issue subpoenas. States must treat conduct reported by other states as if it occurred locally, applying their own laws in determining discipline. States may conduct joint investigations and share materials. Adverse Actions in the Home State automatically deactivate Compact Privileges in all member states until all encumbrances are resolved. Participation in Alternative Programs may substitute for formal discipline.
- **Section 8. Establishment of the Occupational Therapy Compact Commission:** The Commission is a joint public agency of all member states responsible for administering the Compact. Each state appoints one delegate. The Commission has broad operational powers including rulemaking, litigation authority, budgeting, contracting, staffing, ethics policies, data oversight, and compliance monitoring. An Executive Committee carries out day-to-day functions between full Commission meetings. Meetings are public except when closed for specified reasons. Commission members receive qualified immunity and legal protections.
- **Section 9. Data System:** The Commission maintains a centralized Data System containing licensure status, Adverse Actions, Investigative Information, Alternative Program participation, denials, and other relevant data. Member States must contribute uniform information and report Adverse Actions promptly. Significant Investigative Information is available only to member states. States may mark certain information as non-public, and expunged data must be removed.
- **Section 10. Rulemaking:** The Commission holds binding rulemaking authority and must follow procedures including public notice, comment periods, opportunities for hearings, publication, and majority vote adoption. States may collectively reject rules via legislative action. Emergency rules may be adopted with minimal notice when necessary for public protection or compliance. Minor corrections may be made through limited revision procedures. Member state rulemaking processes do not apply.
- **Section 11. Oversight, Dispute Resolution, and Enforcement:** States must enforce the Compact and courts must recognize its rules. The Commission may intervene in legal proceedings, issue default notices, provide technical assistance, and terminate noncompliant states. Terminated states remain responsible for obligations incurred before removal. The Commission may mediate disputes, require binding dispute resolution, and bring enforcement actions in federal court; states may also sue the Commission.
- **Section 12. Implementation, Withdrawal, and Amendment:** The Compact

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

becomes effective once ten states enact it. States joining later are bound by existing Commission rules. States may withdraw with six months' notice but must continue to report adverse actions until withdrawal is finalized.

Preexisting agreements with nonmember states remain valid unless conflicting with the Compact. Amendments require unanimous enactment by all member states.

- **Section 13. Construction and Severability:** The Compact must be liberally interpreted to accomplish its purposes. If any provision is found unconstitutional for a state, the Compact remains effective for all other states and for all severable components. The Commission may deny or terminate membership if a state's constitutional provisions materially conflict with Compact requirements.
- **Section 14. Binding Effect of Compact and Other Laws:** Practitioners acting under a Compact Privilege must obey the laws of the Remote State. Conflicting state laws are superseded by the Compact. Commission rules and agreements are binding. If any Compact provision exceeds a state's constitutional authority, it is unenforceable only within that state.

- Section 9 Amends AS 08.84.190(3) – under *definitions* – to change the definition of “occupational therapy” to remove the requirement that the therapy be for compensation, and to remove the part of the definition that specified what “occupational therapy” includes, since it’s replaced by the scope being added to AS 08.84 by Section 6.
- Section 10 Amends AS 08.84.190(4) – under *definitions* – to change the definition of “occupational therapy assistant” to be a person who, under the supervision of a licensed OT, administers or assists with administering occupational therapy. Previously, the definition was a person who simply assists in the practice of occupational therapy under an OT’s supervision.
- Section 11 Adds a new paragraph (8) to AS 08.84.190 – *definitions* – to define “test and management.”
- Section 12 Amends AS 08.62.400(a)(4) – under *Criminal Justice Information and Records Check: national criminal history record checks for employment, licensing, and other noncriminal justice purposes* – to clarify that background checks can be obtained for audiologist and speech-language pathologist compact privileges, not just licenses.
- Section 13 Amends AS 08.62.400(a)(10) – under *Criminal Justice Information and Records Check: national criminal history record checks for employment, licensing, and other noncriminal justice purposes* – to clarify that background checks can be obtained for physical therapist or physical therapy assistant compact privileges, not just licenses.

CONFIDENTIAL & DELIBERATIVE

**State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION**

Section 14 Amends AS 39.25.120(c)(7) – under *State Personnel Act*: *partially exempt service*
– to add the board’s executive administrator created by Section 3.

Companion or Similar Bills

Please note companion legislation, the sponsor of the companion legislation, and identify any “rider” bills or provisions from other legislation that was included in this final bill. Please include the name of the sponsor of the “rider bill” or provision. If it was added as an amendment in a committee – please indicate the name of the legislator that sponsored the amendment.

- Companion – SB 172 by Senate Labor & Commerce
- Riders – HB 347 by House Labor & Commerce
- Amendments –
 - Senate Finance Committee added the creation of the executive administrator position to the bill and added the sections that updates/fixes language surrounding background checks for licensees.
 - Sen. Bjorkman amended on the floor to add the OT scope expansion (HB 347)

Support/Opposition of the Bill

Please identify names, organizations, titles, and phones numbers of those who testified in support or in opposition of this bill.

Support for OT compact:

- Alaska Board of Physical Therapy and Occupational Therapy, Valerie Phelps, PT, ScD, Board Chair, *contact through CBPL Director Sylvan Robb: (907) 465-2524 or sylvan.robbs@alaska.gov*
- Alaska Occupational Therapy Association, Brianne Oswald, OTD, OTR/L, Association President, President@AKOTA.org
- Randi Sweet, Seldovia resident, randisweet252@gmail.com

Support for OT scope expansion (HB 347):

- Eladio Vinas Jr., OTR, Barrow resident, *contact info redacted*
- Liuslina Sooter, OTR/L, CHT, CLT, Anchorage resident, *contact info redacted*
- Merrik Brown, OTD, OTR/L, CSRS, C/NDT, Anchorage resident, *contact info redacted*
- Baylee Phelps, OTR/L, Wasilla resident, *contact info redacted*
- Allison Horazdovsky, OTD, OTR/L, CHT, Anchorage resident, *contact info redacted*

Opposition to OT compact or OT scope expansion (HB 347):

- None

*NOTE: No public testimony provided on creation of executive administrator position, although the idea/concept has been supported by the State Physical Therapy and Occupational Therapy Board in discussions during on-record board meetings.

Bill Signing ceremony suggestions (if applicable)

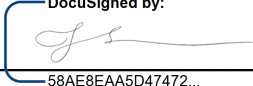
Please provide information for consideration for a bill signing ceremony. Information that is

CONFIDENTIAL & DELIBERATIVE

State of Alaska – Office of the Governor — 34th Alaska State Legislature – Second Session
DEPARTMENT REVIEW – PASSED LEGISLATION

helpful includes: a specific conference, event, venue, date, and the names and contact information of stakeholders who should be considered for an invitation to the bill signing ceremony.

Alaska Occupational Therapy Association 2026 Fall Conference on October 3-4, 2026, in Anchorage. Contact: AOTA President Brianne Oswald at President@AKOTA.org. More information will be posted here once available: <https://akota.org/2026-fall-conference/>

Commissioner's Signature:  **Date:** 5/26/2026
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I have reviewed the above information and provided it to the Governor's Legislative Office for consideration of an action by the Governor on legislation passed during the second session of the 34th Alaska State Legislature.

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